

AUR · FY2026 Q1

2026-05-06

Aurora Innovation, Inc. · 67 turns · 13 participants

CAST (IN ORDER OF APPEARANCE)**Operator**

Operator

Chris Urmson

Co-founder and CEO

Chris Pierce

Analyst, Needham & Company

David Vernon

Analyst, Bernstein

John Sager

Analyst, Evercore ISI

Mark Delaney

Analyst, Goldman Sachs

Scott Group

Analyst, Wolf Research

Stacey Feith

Vice President of Investor Relations

David Madej

Chief Financial Officer

Colin Rouse

Analyst, Oppenheimer and Company

George

Analyst, Canaccord Genuity

Ken Hoekstra

Analyst, Bank of America

Robbie Shanker

Analyst, Morgan Stanley

OPERATOR Operator

Greetings and welcome to the Aurora First Quarter 2026 Business Review Call. At this time, all participants are in a listen-only mode. A question and answer session will follow the formal presentation. If anyone should require operator assistance, please press star zero on your telephone keypad. As a reminder, this conference is being recorded. It is now my pleasure to introduce Stacey Feith, Vice President of Investor Relations. Please go ahead.

STACEY FEITH Vice President of Investor Relations

Thanks, Paul. Good afternoon, everyone, and welcome to our first quarter 2026 business review call. We announced our results earlier this afternoon. Our shareholder letter and a presentation to accompany this call are available on our investor relations website at ir.aurora.tech. The shareholder letter was also furnished with our form 8K filed today with the SEC. On the call with me today are Chris Urmson, co-founder and CEO, and David Madej, CFO. Chris will provide an update on the progress we have made across the key pillars of our business and David will recap our first quarter financial results. We will then open the call to Q&A. A recording of this conference call will be available on our investor relations website at ir.aurora.tech shortly after this call has ended. I'd like to take this opportunity to remind you that during the call, we will be making forward-looking statements. These statements are subject to known and unknown risks and uncertainties that could cause actual results to differ materially from those expressed, projected, or implied during this call. In particular, those described in our risk factors included in our annual report on Form 10-K for the year ended December 31, 2025, and other documents filed with the SEC, as well as the current uncertainty and unpredictability in our business, the markets, and economy. Additional information will also be set forth in our quarterly report on Form 10-Q for the quarter ended March 31, 2026. You should not rely on our forward-looking statements as predictions of future events. All forward-looking statements that we make on this call are based on assumptions and beliefs as of the date hereof, and Aurora disclaims any obligation to update any forward-looking statements except as required by law. Our discussion today may include non-GAAP financial measures. These non-GAAP measures should be considered in addition to and not as a substitute for or in isolation from our GAAP results.

Information regarding our non-GAAP financial results, including a reconciliation of our historical GAAP to non-GAAP results, may be found in our shareholder letter, which was furnished with our Form 8K filed today with the SEC, and may also be found on our Investor Relations website. Our discussion today may also include reference to forward-looking free cash flow, a non-GAAP financial measure. To the extent that this forward-looking financial measure is provided, it is presented on a non-GAAP basis without a reconciliation due to the inherent difficulty in forecasting and quantifying certain amounts that are necessary for such reconciliation. With that, I'll now turn the call over to Chris.

CHRIS URMSON Co-founder and CEO

Thanks, Stacey. 2026 is the year Aurora begins to scale. Our strategic investments are fueling the momentum necessary to accelerate our growth and extend our lead in the autonomous trucking market. The start of this year has been a period of disciplined transition, a deliberate buildup before the inflection. Drawing on our deep experience safely integrating the Aurora driver across multiple platforms, we're on the cusp of launching our second generation commercial hardware kit on a new fleet of driverless trucks. This program positions us to exit the year with over 200 driverless trucks in operation across the Sunbelt and supports our broader scaling ambitions in 2027 and beyond. In preparation for this imminent launch, our forthcoming software release and commercial hardware kit are engineered specifically to deliver the reliability required as we scale our fleet. This progress is driving significant commercial momentum. In addition to the transportation as a service commitments we already have in place with Hirschbach, we announced last week that they have selected Aurora to scale their autonomous fleet with intent to own and operate 500 trucks through our driver as a service business model. We expect to finalize the definitive agreement, which represents a potential multi-year revenue stream in the hundreds of millions of dollars later this year, with truck delivery slated to begin in 2027. As we prepare to scale we're seeing continued regulatory momentum with landmark progress at the state level California has reached a watershed moment joining the vast majority of states in enabling autonomous trucking. We now project a serviceable addressable market of 60 billion vehicle miles traveled by 2028 and excitingly California supports a seamless coast to coast operating environment. With the Aurora driver now sufficiently generalized for us to begin scaling across the Sunbelt, aligned with customer demand, we strategically focused our resources on three key initiatives. Expanding our driverless network, finalizing our latest software release, and validating our second-generation commercial hardware kit. These efforts serve as the critical final steps in preparing for the imminent launch of our new driverless truck fleet. transitioning Aurora from a phase of localized operations to one of wide-scale industrial deployment. Our expansion is progressing at an accelerated pace, with our network now encompassing 12 distinct routes. At the end of March, we validated driverless operations on the bidirectional route between Dallas and Laredo within just six weeks of initiating supervised autonomous runs. Building on this momentum, we also opened new bidirectional routes between Dallas and Oklahoma City, In collaboration with Volvo Autonomous Solutions, we have started supervised autonomous deliveries on this route to support one of their key customers. Furthermore, we've expanded our driverless cohort to seven customers, including transitioning commercial loads with McLean to driverless operations. Our forthcoming software release further increases the Aurora driver's reliability in preparation for scaling, including validation of driverless operations in more severe rain, as well as the full spectrum of complex construction scenarios on our highway routes. To complement these advancements, we are augmenting our driverless network to support real-time dynamic rerouting, providing the operational agility required for high-volume commercial service. We're also in the process of validating our second-generation commercial hardware kit on multiple truck platforms through rigorous on-road track and lab testing, to prepare for our planned second quarter launch and are seeing impressive performance. Designed for one million miles of operation and with enhanced sensor cleaning capabilities, this kit meaningfully increases the Aurora driver's reliability. It also brings exciting performance gains, including a more efficient computer and an extended one kilometer range for first light, our proprietary long-range FMCW LiDAR. This is double the range of the closest

FMCW LiDAR competitor and can give the Aurora driver more than 34 seconds to react when at highway speeds, setting a new superhuman standard for safety. And importantly, we expect this kit to drive a 50-plus percent reduction in Aurora driver hardware costs, a key lever supporting our break-even gross margin target. While advancing on these fronts, in April, the Aurora driver surpassed 370,000 driverless miles with 100% on-time performance and zero Aurora driver-attributed collisions. Notably, this growth was driven by a very strong utilization with a leaner active fleet. For example, the driverless trucks we are operating for Werner are already averaging 4,000 plus miles per week, which translates to an annual run rate of 225,000 plus miles per truck. With the performance we're seeing, we expect Aurora driver-powered trucks will be capable of more than doubling utilization and in turn revenue per truck for our customers. Expanding driverless delivery to and from customers' facilities will further strengthen the Aurora driver's value proposition. We're continuing to ready Hirschbach, Detmar, and Werner for endpoint operations, including in-yard autonomous operations at their facilities. We currently expect to generate a majority of our 2026 revenue through operations between customer facilities, reflecting our continued focus on increasing commercial value. To ensure seamless end-to-end service, we recently began supervised testing of weigh station navigation and on-route fueling at truck stops. Navigating these environments requires many of the same advanced surface street capabilities we have already refined. For example, on the seven mile, the Aurora driver navigates to and from the highway in Houston. The video on page eight of our presentation demonstrates the Aurora driver's proficiency in these complex low speed settings. To meet customer demand and support our path to scale, we've established a robust hardware and vehicle platform roadmap. We're closing in on the second quarter launch of our second generation commercial hardware kit on a new fleet of trucks based on the international LT series that will enable driverless operations without an observer. With this program, we have strong line of sight to achieving our 2026 scaling goals. We expect this to establish a powerful foundation for 2027 when we plan to launch our drivers of service business model. Looking ahead to 2027, we've made exciting progress on our third generation commercial hardware kit that will be manufactured by Immovio. Together, we started testing initial units Our engineering team is also working with Amovio and NVIDIA to develop a first-of-its-kind SuperThor compute configuration, an architecture that integrates two NVIDIA DriveThor SOCs into a unified platform optimized to power the Aurora driver at scale. This approach demonstrates our three-way collaboration is setting the standard for industrializing autonomous technology. In March, Amovio broke ground on the expansion of their New Braunfels, Texas facility where they will produce our third-generation hardware kit intended to supply tens of thousands of trucks. Construction of the plant's expansion is expected to be completed in the first quarter of 2027. We'll start a production for the hardware kit on track to begin in the second half of 2027. Volvo plans to build hundreds of the Volvo VNL autonomous trucks in 2027 and has already completed several Aurora driver-powered trucks on their pilot line. For the program based on the international LT truck, our Uphitter Roush will begin scaled production later this year. We're initially establishing the capacity to produce 1,000 trucks per year, with potential to increase that capacity. Concurrently, PACCAR and Aurora are jointly defining the path to scalable launch on the third-generation Aurora Driver Commercial Harbor Kit, integrated with PACCAR's future autonomy-enabled platform. All of this work is forging the industrial engine that extends our leadership position and supports commercial deployment at significant scale. At Aurora, we're building a safer, stronger, and more resilient freight ecosystem with our technology for the people who power it. To back this vision, we recently announced Aurora Works, our commitment to invest in workforce development by establishing educational partnerships and technical training for emerging roles in autonomous trucking. We're at the center of a new era of logistics that improves road safety, fuels economic growth, and creates new high-skilled American jobs. Autonomous freight represents a step change for what is possible in global logistics. The Aurora driver moves the industry beyond traditional constraints toward a world of continuous high utilization delivery. With a clear roadmap, deep partnerships, and an accelerating industrial engine, we are well positioned to lead this evolution. The future of freight

is on the road and Aurora is setting the pace. With that, I'll now pass it over to Dave who will review our financial results.

DAVID MADEJ Chief Financial Officer

Thank you, Chris. Now let's review our financial results for which we have provided a summary on page 15 of the slide deck for reference. First quarter 2026 revenue totaled \$1 million across driverless and vehicle operator supervised commercial loads. Despite leveraging our shared fleet for continued development of new routes and validation of our second generation commercial hardware kit, the Aurora driver achieved another record number of commercial miles during the quarter, which drove a 10% sequential increase in revenue from the fourth quarter of 2025. First quarter operating loss, including stock based compensation, totaled \$244 million. Excluding stock-based compensation of \$46 million, R&D totaled \$159 million, SG&A was \$34 million, and cost of revenue was \$6 million. We used approximately \$159 million in operating cash during the first quarter of 2026, and capital expenditures totaled \$25 million. As planned, this cash spend was below our externally communicated quarterly average target. We expect the second quarter cash spend to be above the target range due to the timing of our cash bonus payout, which as we discussed last quarter, we plan to fund with our at-the-market program. We ended the quarter with a very strong balance sheet, including liquidity of nearly \$1.3 billion in cash and short-term and long-term investments. During the first quarter, we generated net proceeds of \$14 million from the issuance of Class A common stock through our At the Market program, which we used to fund the tax liability associated with vesting of employee-restricted stock units during the quarter. We continue to expect 2026 revenue of \$14 to \$16 million, up 400% year over year at the midpoint. Revenue will be back and loaded, with the fourth quarter projected to contribute over half of full year revenue, as we scale driverless operations following the launch of our new fleet. We anticipate exiting the year with more than 200 driverless trucks in operation, which translates to approximately \$80 million in revenue on a run rate basis for our transportation as a service business. This establishes a powerful foundation for 2027 when we expect the core driver as a service model to commence. To support our scaling plan, we continue to expect quarterly cash use of approximately \$190 to \$220 million on average throughout 2026. This includes approximately \$150 million in anticipated full-year capital expenditures, primarily attributed to our capacity plan. We continue to expect 2026 to represent peak capital spend and capital expenditures declining significantly in 2027 as we transition to our driver-as-a-service model and hardware-as-a-service structure with Immovio. Our first quarter performance reflects the focused execution and disciplined transition that will define Aurora in 2026. We continue to balance prudent resource management with the strategic investments needed to support large-scale industrial deployment. With that, we will now open the call to Q&A.

OPERATOR Operator

We'll now be conducting a question and answer session. If you would like to ask a question, please press star 1 on your telephone keypad. A confirmation tone will indicate your line is in the question queue. You may press star 2 to remove yourself from the queue. For participants using speaker equipment, it may be necessary to pick up your handset before pressing the star keys. One moment, please, while we poll for questions. Thank you. Our first question is from George with Canaccord Genuity.

GEORGE Analyst, Canaccord Genuity

Hey, everyone. Thank you for taking my questions. So maybe first, in light of the growing commercial momentum that you're seeing, have you seen any meaningful acceleration in inbound interest from prospective fleet partners? And also, as you're beginning to scale, How are you navigating price discovery? Has there been any resistance from customers regarding the per mile rate or is the value currently offsetting any cost concerns? Thank you.

CHRIS URMSON Co-founder and CEO

Yeah. Thanks, George. Appreciate you. Appreciate the question. We continue to have really exciting conversations with various customers. You know, we've talked in the past about each time we kind of check off progress, we see it become more real in the eyes of customers, and that leads to an increase in the conversations we have. We've got an exciting funnel, and we'll share more as we get through that. I don't think we can talk specifically about pricing on this. Obviously, there's a lot of competitive elements around that, but we have very, you know, fruitful conversations with folks. You know, of course, they want to pay nothing for it, and we'd like to charge them more for it. So, you know, every one of those conversations is, of course, a negotiation. I don't know, Davis, you'd add more.

DAVID MADEJ Chief Financial Officer

Yeah, I think... The customers themselves have been giving us really good and direct feedback. At the end of the day, the value proposition that we're discussing has still resonated quite well. You're going to argue a little bit about the fringes, but the growing cost of drivers is undeniable, the indirect costs associated with it. And fuel costs are really high right now. We're providing a 15% reduction on that, that translates to real dollars, right? That's roughly 15, 16 cents per mile in today's, you know, marketplace. So the value proposition does resonate quite well. And, you know, we're confident that we're going to be able to grow the business and achieve our profit objectives.

GEORGE Analyst, Canaccord Genuity

Thank you. And maybe as a follow-up, you know, given your recent autonomous halls, are you encountering any technical bottlenecks as you transition from pilot to more of a consistent operational cadence? And how have your engineering teams mitigated any constraints that have been out there on the system? Thank you.

CHRIS URMSON Co-founder and CEO

Yeah, there's nothing that we're seeing that's particularly surprising. It's stuff that's been in our roadmap for a while. So we're continuing to improve that. This new release that is going to land with the second generation hardware really is about making sure that we have a robust platform that's reliable and meets customer needs. Increasing the amount of rain we can handle, dealing with more complicated construction that we need to deal with on freeways. That's the kind of thing that's going to set us up to be able to scale really well. Thanks. Thank you.

OPERATOR Operator

Our next question is from Scott Group with Wolf Research.

SCOTT GROUP Analyst, Wolf Research

Hey, thanks. Afternoon, guys. So a couple of things. Relative to the target of 200 trucks by the end of the year, how many are in operation today? And then separately on the Hirschbach MOU, just hoping for a little bit more color, like what needs to happen to convert this from an MOU to a committed contract? And do you have any color on how many of those 500 trucks you expect to deliver in 27 and how long you think it takes to get to the full Yep.

CHRIS URMSON Co-founder and CEO

So on the 200 trucks, when we talk about 200 trucks, we're talking about driverless trucks operating by the end of the year. Today, we're running about a handful of them. Of the vehicles that will make up those 200 trucks that are operating driverlessly, I think we own 25 of them now, and they're in various stages of upfit and preparation. So that's kind of where we stand on getting to those 200 trucks over the course of the year. We expect, you know, we're doing work in Q2 to prepare Roush to scale, and they'll really start scaling, getting towards that 20 trucks per week production rate in Q3. With Hirschbach, I don't know there's a whole lot we can share there. We're really excited

about they've been one of our longest-term partners and customers. And, you know, to George's question earlier about the value customers see, You don't get a company like Hirschbach signing up for an MOU unless they see real opportunity for it to complement the drivers they have in their fleet today. It's a 500 truck deal over 27 and 28 is our expectation. We expect it to turn into hundreds of millions of miles and hundreds of millions of dollars of revenue. And we expect to get to closure on that this year.

DAVID MADEJ Chief Financial Officer

Yeah. And he's got one other thing, one other thing on the 200 trucks. I just, so there's no confusion. We, we, we, we already have, uh, you know, commitment and, uh, order slots for the, for the entire 200 trucks. So there is no question about the truck availability. It's just when we bring them into, uh, start the upfit process and we build out our capacity plan.

SCOTT GROUP Analyst, Wolf Research

Okay, great. And then, um, last couple of things. David, do you, I think you talked about last quarter, if you get to the 80 million run rate of revenue, that'll be gross profit breakeven. Is that still the case? And then on the California front, when do you expect to start operations there?

DAVID MADEJ Chief Financial Officer

Well, relative to the gross profit breakeven, that is still our target for sure. The \$80 million is one element of that. There are some things that we need to do on the cost side of that equation, which are equally as important, which is part of our plan. And so we're still targeting it. It's not formal guidance, but we are targeting it, and we are going to be working really hard to be able to achieve that target. I'll let Chris talk a little bit about California.

CHRIS URMSON Co-founder and CEO

So California, first, we're really excited that California is taking a step forward with this. We've been in conversation with them literally for years, and we're just excited to see them put out the regulations and give us certainty on how we can start to build our business there. We don't have set time for when we'll begin operating in California. We have to go through the permitting process with them to do that, but the team is already working on that, and we'll share more when we can.

SCOTT GROUP Analyst, Wolf Research

All right. Appreciate the time, guys. Thank you.

CHRIS URMSON Co-founder and CEO

Thank you.

OPERATOR Operator

Our next question is from Robbie Shanker with Morgan Stanley.

ROBBIE SHANKER Analyst, Morgan Stanley

Great. Thanks, everyone. Chris, you said in your letter that you and PACCAR are jointly defining the path to scalable launch on their assembly lines. Do you have an understanding, and if so, can you tell us kind of what this path looks like from a catalyst or a timing standpoint?

CHRIS URMSON Co-founder and CEO

Yeah, I can't share timing, of course. What I can share is that we're aligning around the third-generation platform or hardware kit from Aurora that we're working with Amovio on. We've shared in the past that we expect that to come into production in the back half of 27. And so, you know, we continue to have conversations with PACCAR. We continue to work with them closely and look forward to offering customers who'd like to have the Aurora driver on a Peterbilt that option.

ROBBIE SHANKER Analyst, Morgan Stanley

Okay, understood. And maybe kind of on a different topic, obviously truck rates appear to be going up quite meaningfully, and there are some who think we may be on the cusp of a generational upcycle here. Are you seeing any increased interest from customers or carriers who may be concerned about a driver shortage? And is this an opportunity for you to maybe revise your pricing strategy, or are you just selling this as, hey, there's more savings for your customers if they switch to autonomous in the next few years?

CHRIS URMSON Co-founder and CEO

Yeah, so I'll say that first, I'm not savvy enough to predict exactly what will happen with the market here, but it does feel like there's a lot of factors that are contributing to what will be increased freight rates going forward. You know, we're really focused on delivering value to our customers. Uh, we ultimately expect to get paid for that value. And so if we're contributing more value would ultimately expect to, uh, to be compensated for that. Uh, but right now we're focused on making sure that the folks who've been with us as partners and customers and, you know, get an opportunity to benefit from that and build their business. So I don't have anything that you'd add.

DAVID MADEJ Chief Financial Officer

No, I think that's right. I will say that the, uh, the interest has been picking up a lot over the last six months, frankly, the number of inbound calls that we're getting has been just increasing dramatically, Robbie. So we're very excited about that. Part of it is just we're out there and people can see and experience it more than they've ever had before. Part of it is the market is starting to have some positive signs that feel like they're more sustainable and that has people more interested in thinking about their long-term. I think from the pricing side, the one thing that I would say is we believe that the pricing at that \$0.85 plus kind of range will enable us to be very successful, and it will support broad-scale adoption for our customers. And I think we look at it not so much as how would we maximize that next quarter, and I think about it as how will we, you know, build a plan for the next several years. And we want to make sure that we have equally as much of that long-term focus and support for customer adoption as we can.

ROBBIE SHANKER Analyst, Morgan Stanley

Very good.

CHRIS URMSON Co-founder and CEO

Thank you, Chris and David. Thank you.

OPERATOR Operator

Our next question is from Chris Pierce with Needham & Company.

CHRIS PIERCE Analyst, Needham & Company

Hey, good afternoon. I just want to, you know, if you guys could shed some light. You talked about Hirschbach. You know, what are they seeing – Are they seeing something different in terms of absolute number of miles driven, or is it just a unique decision on their end that sort of has them pull the trigger to move from a trial to a truck order? And I guess, do you have other partners that you've been working with over time that are similar miles, and it's just sort of

come down to a unique decision on their end? I just kind of want to get a sense of what helped them get over the edge there.

CHRIS URMSON Co-founder and CEO

I think, first, it's important to recognize that there's a distribution of customers, right? There's going to be folks who are first movers, and there's going to be others who are fast followers. You know, we've, you know, Hirschbach has had a lot of experience with us. The leadership team there, we've been able to build trust with over time. And so, you know, we're excited for them to pull the trigger. We do expect others will follow, you know, and we'll just continue to demonstrate value. And, you know, frankly, right now, we're pretty supply constrained. And we look forward to unlocking that supply over the course of this year and certainly in 27 as we bring the Amovio Hardware Kit online.

DAVID MADEJ Chief Financial Officer

The other thing that I would add on Hirschbach, they have been with us for quite some time, and they don't look at this just as a business decision. They are really looking at this as like, in their words, the quality of life investment for their people, right? This is to help support their people and get them to the routes in the working environment that will improve their quality of life while we handle the quote-unquote, the less desirable, the longer haul route to keep you away very far. So they've been very forward-leaning on thinking about their driver's long-term quality of life. And so I think that's something that's very important to them, and certainly they care a lot about their drivers.

CHRIS PIERCE Analyst, Needham & Company

Okay. And then just one for Dave. In your, you know, from the desk of the CFO, You talk about in the last paragraph about peak CapEx. I just want to understand definitionally, I mean, I don't think of you guys as a heavy CapEx company. I think of you as a heavy R&D company. Are we saying that 27 is, you know, we're close to peak R&D and R&D comes down? I just want to make sure I'm understanding what line item on the model and what statement to look at.

DAVID MADEJ Chief Financial Officer

No, I think we have said many times we're a capital efficient or a capital light business. Right. And as a transportation, as a service business to start, you actually have a little bit more capital than what we believe is going to be our steady state long-term capital. So we do expect our catbacks to go down our R and D investments. Um, uh, certainly that's a larger percentage of our overall, uh, expenditures. We are continuing to invest in our R and D to, to capitalize on the lead, continue to build that advantage, make the Aurora driver available everywhere. And so we kind of look at that as more of a steady state kind of number for the foreseeable quarters, whereas we think the capex will start to drop down substantially in 2027. Okay.

CHRIS PIERCE Analyst, Needham & Company

Thanks for clarifying. Good luck.

DAVID MADEJ Chief Financial Officer

Thank you.

OPERATOR Operator

Our next question is from Colin Rouse with Oppenheimer and Company.

COLIN ROUSE Analyst, Oppenheimer and Company

Thanks so much, guys. You know, it's – We've done a very judicious job of waiting to scale until you guys were ready. And now as you move into this next stage of the organization, I'm just curious about how you think about pacing of this scale up, because certainly demand isn't going to be an issue, but maintaining quality as you move into these higher volumes is critical. So I just want to think about how you're managing that, how you're managing supply chain to meet those specs, and how you might end up diversifying some of the supply chain to enable a little bit more resilient supply as you go forward.

CHRIS URMSON Co-founder and CEO

Yeah, and that's really aligned with our long-term strategy that we've talked about for several years. So thanks for the question. As we went from the initial vehicles that we launched with last year, that was hardware that we had built in-house. We had sourced all in-house. As we moved to the second generation of hardware, there we're leveraging Fabrinet, the experience they have, the quality process they have, layering on top of that, you know, our quality and sourcing support. So we feel good about that. And then, of course, as we move to, you know, the back half of 27, when we expect the hardware kit that we're developing with Amovio to come to life, there, of course, we're leaning into Amovio and the strength that they have in managing their supply chain and managing quality, being a true scale automotive supplier. And so that's kind of how, if you think about the hardware side of it, that's how we're building that supply chain system. When it comes to the software that operates on board, that's been a core part of how we've thought about this is how do we ensure that the software will generalize safely over time? It's what leads us to do as much work as we do in testing and validation. And it's why we've said from day one that safety has to be first. And so we've ingrained that into the organization over the better part of a decade at this point. and that leads to process that we think will scale and ultimately drive safe and reliable outcomes for our customers.

COLIN ROUSE Analyst, Oppenheimer and Company

Thanks. And then, you know, as you guys prioritize ODDs, you know, I'm curious about how much input you're getting from your customers at this point, or if you're at a place now where you're just really driving capabilities and then selling it to them, you know, are there priorities that they have that, can impact some of the sequencing and focus areas for you on an R&D perspective?

CHRIS URMSON Co-founder and CEO

That's a great question. And we continue to want to learn as much as we possibly can from our partners and understand what the source of demand is and where that's most useful for them. Dave talked about Hirschbach's focus on supporting their employees and what does that translate into places that are useful for us to drive for them. So in terms of the capabilities that the Aurora driver has to have, We do learn some from our customers, but that we kind of infer ourselves. But where we need to go operate, which lanes we should be opening, that is very much almost purely driven by customer demand. Thanks, guys. Thank you.

OPERATOR Operator

Our next question is from David Vernon with Bernstein.

DAVID VERNON Analyst, Bernstein

Hey, guys. Thanks for fitting me in here. So first question for you, Dave. I noticed the language around sufficient liquidity to get to positive free cash flow in 2028 that was in the 4Q letter is not in the 1Q letter. Was that purposeful? Was that just still on plan? Can you kind of comment what the status is on the cash flow break even by 2028?

DAVID MADEJ Chief Financial Officer

Yeah, it's still our plan. We believe that we have sufficient liquidity. Nothing has changed in that to get us to a positive free cash flow.

DAVID VERNON Analyst, Bernstein

Okay, thanks. And then maybe the 4,000 miles per truck per week that you guys are quoting on the utilization that you're getting out of Warner, is that the right number to use in terms of a run rate assumption to underpin the 80 million sort of task exit run rate? And then I guess the follow-on to that would be if, you know, that turns in to be the right sort of revenue per mile-ish range for you know, how does the DAS thing compare? You know, is it half? Is it three quarters? Like, anything you can give us relatively on what we should be thinking about plugging into a model around the DAS versus the TAS rate would be helpful.

DAVID MADEJ Chief Financial Officer

Yeah, I think for the mileage, I think that's really going to vary based on the customer use cases, but we're very confident in our ability to achieve double utilization, and it is really going to depend on which routes they put them on, and in the load frequency frequency that they have but certainly we think this you know 200 to 250 000 mile range is still a very good um source we've used that uh several years ago and we still think that that's a good target that any customer can achieve so we think that's probably good there uh in terms of you know the pricing dynamics you know i can't get into too many specifics without you know, kind of comparing individual customers. But what I can tell you is the information that we shared before relative to anywhere from \$1.50 to \$2 a mile for TAS plus fuel surcharge, and then on the driver as a service, you know, again, our indicative pricing is about \$0.85. So, again, we think that that's a pretty good mix, and so you can kind of do the math from there.

CHRIS URMSON Co-founder and CEO

Okay. Thanks. Thanks, David.

OPERATOR Operator

Our next question is from John Sager with Evercore ISI.

JOHN SAGER Analyst, Evercore ISI

Hey, everyone. Thanks for taking my call. I hate to continue to dig into the numbers a little bit, but to get to sort of \$15 million of revenue, so you're charging somewhere around \$2 per mile. And then if I'm backing into gross margin break-even, that means that your cost is something like \$1 per mile to operate. Is that a fair way of thinking about it? I'm just trying to figure out how to know your progress. Yeah.

DAVID MADEJ Chief Financial Officer

Yeah, no, no problem. Like our cost of goods sold is the measurement, you know, that we're looking at for our, you know, our gross margin. So you will see if revenue is about to that's our target for our cost of goods sold is about \$2 a mile. That will obviously change when we go to the driver as a service. You've got to remember in our current transportation as a service business model, it's not just the cost of being able to deploy the Aurora driver. It's the cost of purchasing the trucks, financing the hardware, and a lot of other fuel costs. I think you'll see us really targeting roughly that \$2 a mile for a break-even target.

JOHN SAGER Analyst, Evercore ISI

Okay, perfect. And then as we look out into 2027, at what point do you, do you make that transition to the point where the customers own the trucks and like, when is, can you give us any sense of timing on that? Is it, does it all happen at once or is this sort of a customer by customer?

DAVID MADEJ Chief Financial Officer

Yeah, it's, it's not a hard line. Um, we will start the process in 2027. Uh, and then it will, it will really be customer by customer specific. I would also point out that we will still have transportation as a service trucks operating for several years, even with customers who have who have signed up for additional driver as a service contract. So we're going to continue to utilize a small fleet of transportation as a service trucks for its life. And then we will kind of just build upon that going forward. So we do expect, you know, again, some, Some general starting, we will start in 2027, but there's no hard line of when it will exactly start. We're not making some fundamental shift of we will only do driver as a service going forward. Again, it's important for our customers to support the adoption, to be able to see and experience the Aurora driver in a scenario where they don't have to make huge investments until they've seen the product work and provide value to them?

CHRIS URMSON Co-founder and CEO

That is something that I think will evolve over time, right? Today we're, you know, we're going to be the only provider, first provider of this technology in market. And so I think there's going to be more customer education and the transportation of the services Dave said allows us to have this low friction way for them to get introduced, get used to it. Uh, but what we do see is that as customers get used to it, uh, You know, they believe in their, you know, the value they provide in owning, operating, maintaining, using these trucks efficiently. And that's a competence that we don't think that's core to Aurora. And so we see customers excited to take that on, and we look forward to it.

JOHN SAGER Analyst, Evercore ISI

Okay, great. Thank you so much. Very helpful. Thank you.

OPERATOR Operator

Our next question is from Mark Delaney with Goldman Sachs.

MARK DELANEY Analyst, Goldman Sachs

Good afternoon. Thank you for taking my questions. Nice to see the improved and new rollout to new locations, so thanks for all the updates on that. Chris, I was hoping to get your latest thoughts on AI technology and any new innovations that Aurora is looking at. One thing that's had more discussion in the investment community and tech community recently has been world models, but curious whether it's that or other newer technologies that you're observing and anything that could be impactful for Aurora.

CHRIS URMSON Co-founder and CEO

No, we continue to pay attention to what's happening outside. We're excited about the models that we're building at Aurora. We continue to be deep believers in verifiable AI. The idea that you would trust one of these giant trucks driving down the road with something where you just kind of hope the output is the right thing given the input, it just doesn't make sense. And so, you know, we continue to look for ways we can bring those ideas in and fuse them with our approach to ensuring that we can deliver a safe vehicle on the road.

MARK DELANEY Analyst, Goldman Sachs

I understand. Thanks. My other question was around the planned start of operations without a driver this quarter. Maybe just speak a bit more, if you could, please, around what still needs to happen for that to materialize. Is it additional testing and validation or anything else that may still be left in order to meet that timeline? Thank you.

CHRIS URMSON Co-founder and CEO

Yeah, it's really, you know, imminent. We're excited about the progress we're making. It's predominantly testing and validation at this point. So we're continuing to look forward to having them on the road in Q2.

OPERATOR Operator

Our next question is from Ken Hoekstra with Bank of America.

KEN HOEKSTRA Analyst, Bank of America

Hey, great. Good afternoon, Chris and Dave. Earlier, you talked about some of the new routes going from Dallas, Laredo, Dallas, Oklahoma City. So for the 200 trucks by year end, can you talk about how many total lanes would that encompass? Kind of what's the expansion target? And then how many different customers are part of that 200 trucks? Are you focused on the existing customers? You start talking about new stickers on the trucks. Thanks.

CHRIS URMSON Co-founder and CEO

Yep. So for the second question first, we expect there to be many new stickers on the trucks by the end of the year. You know, we continue to want to support and ensure that the folks who've been with us early on are able to benefit from it and grow their businesses. You know, we appreciate the trust they've put in us, but we aspire to have the Aurora driver on, you know, every truck ultimately. And so we're excited to have new customers come in and grow with them. On the lanes front, It's really going to be driven by customer interest and demand and where it makes sense for those customers to have the trucks operating. We expect it to span across the Sunbelt, as we have said, for some time. But the specific lanes and lane count will really be dictated by that. And what's great is that we're moving in the direction with our ability to unlock new lanes that it's a comparatively, you know, the complexity and difficulty of making that happen has come down dramatically. And so we can be much more responsive and reactive to where customers want us to operate.

KEN HOEKSTRA Analyst, Bank of America

Great. Makes a lot of sense. If I can get a follow-up then on the routes, right? So maybe talk about how much of that is, I don't know, end-to-end versus drop-and-hook yards or maybe just understanding the last mile at this point. And then on the production, if you're targeting 200 or 20 trucks a week at this point by year-end, how much can that scale into 27 on year-end? both the truck manufacturing and the Armobio side.

CHRIS URMSON Co-founder and CEO

Yeah, okay. So we continue, and maybe let me make sure what we mean by end-to-end. End-to-end means going from a customer site to a customer site, generally a distribution center or some kind to a customer distribution center or terminal. We're not talking about going to the Safeway or, you know, the restaurants. And so we expect by the end of the year the miles that we drive are predominantly going between customer endpoints. That's our expectation. We think that is the right way to deliver the product. We think it's valuable to the customer. So we're looking forward to that. And as we mentioned, we're already doing the work with customers today with Werner Hirschbach and others at DevMar in particular to open up their endpoints and operate those robustly. I feel like there's a second half of your question there that I lost somewhere. I apologize.

KEN HOEKSTRA Analyst, Bank of America

Oh, just the, then the second was just back to the production, right? So you talked about 20 trucks a week and kind of thoughts on scalability to 27.

CHRIS URMSON Co-founder and CEO

Yeah. So we're, we're starting by setting Roush up with the bandwidth to be able to produce a thousand trucks a year. As we go into 27, as we see, you know, the demand for that, we can increase that scale further. And we really see this as a compliment to the other programs we're running in with Volvo and Peterbilt, PACCAR. So, you know, it's a third option relative to those two. Wonderful.

KEN HOEKSTRA Analyst, Bank of America

Thanks a lot. Thanks a ton. Thank you.

OPERATOR Operator

Thank you. That is all the time we have for questions today. This concludes today's presentation. You may disconnect your lines at this time. We thank you again for your participation.